



Cosmic Mart

Case Study

Materials

01

Background

02

Company data

03

Relationship with Accenture

04

Business challenge





Cosmic Mart background

Company history

2001 to 2020

Cosmic Mart was founded in **2001** by visionary entrepreneurs Taylor Hillman and Riley Lopez, fueled by their passion for bringing innovative products to consumers across the galaxy. They started small with a single store on the bustling planet of Novus Prime. It extended its reach by establishing virtual retail outlets. This pivotal advantage propelled its expansion, elevating it to a retail entity on the red plains of Mars. Cosmic Mart emerged as the preeminent and thriving retail giant during 2020, spanning interplanetary realms. Driven by an unquenchable thirst for triumph, its gaze was fixed upon the blue jewel of the cosmos – **Earth**.

2021 to present

Cosmic Mart unveiled its grand inauguration on **Earth** in the year **2021**, distinguishing itself through cutting-edge digital innovations. Yet, it remained steadfast in its commitment to providing a sense of terrestrial familiarity, ensuring a seamless **connection for human patrons**. It diligently crafted an inviting shopping experience for its diverse clientele. The company's range of offerings resembled those of its counterparts, presenting a comprehensive selection within the realm of retail. The company even embarked on constructing its very **first physical retail establishments**, staffed with friendly faces to cater to its customers in person.

Company fast facts

Cosmic Mart:



Holds a dominant position as the premier retail entity in the Cosmic Federation



Serves an impressive 144 million customers across 10 core markets on Earth



Pioneers cutting-edge technologies such as virtual reality shopping experiences and AI-driven customer interactions



Commits to eco-friendly practices, including sustainable shipping and environmentally conscious product sourcing



Aims to empower individuals and businesses through competitive offerings, expert advice, and meaningful financial progress

Cosmic Mart's earth-based product offerings



Retail products

- ✓ **Technological gadgets:** Cutting-edge gadgets and electronics for various purposes
- ✓ **Fashion and apparel:** Trendy clothing, accessories and footwear
- ✓ **Home and lifestyle:** Innovative home appliances, decor and lifestyle products



Omnichannel experience

- ✓ **Online platform:** A user-friendly e-commerce website offering a wide range of products and services
- ✓ **Mobile app:** An app for convenient shopping and managing financial transactions on the go
- ✓ **Physical stores:** Physical retail locations where customers can interact with products and receive personalized assistance from staff



Customer engagement programs

- ✓ **Cosmic rewards program:** A loyalty program offering exclusive discounts, early access to products and personalized offers
- ✓ **Cosmic nexus program:** A community-driven initiative that allows customers to donate to charitable causes of their choice during their transactions

Strategic priorities



Innovation and technology through Gen AI adoption

- Invest in cutting-edge technologies to enhance the shopping experience.
- Develop and implement advanced virtual reality and augmented reality features for immersive shopping.
- Leverage artificial intelligence for personalized product recommendations and customer interactions.



Cost optimization through AI-driven supply chain management

- Implement AI-powered forecasting to reduce overstocking or understocking.
- Streamline processes to increase operational efficiency.
- Improve cost management through data-driven decision making powered by AI to quickly respond to market changes and cost fluctuations.



Sustainability and Responsibility leveraging AI

- Source eco-friendly and sustainable products to promote responsible consumerism.
- Optimize packaging and shipping practices to reduce the company's carbon footprint.
- Introduce more eco-conscious initiatives and communicate the company's commitment to sustainability.



Customer-Centric Engagement

- Strengthen customer engagement programs, such as the Cosmic Rewards Program, to enhance loyalty.
- Collect and analyze customer feedback to improve offerings and tailor experiences.
- Provide exceptional customer service through both digital and in-person interactions.

Each team will be pick or be assigned one of the following priority areas to complete the case activity.

Challenges impacting strategic priority 01:

Innovation and technology adoption

Cultural adaptation and market understanding

Adapting to the cultural nuances, preferences and shopping behaviors of Earth's diverse population is crucial. What works well in one culture might not resonate with another. Understanding local customer expectations and tailoring the VR/AR experiences and AI recommendations to match Earth's various markets is a significant challenge.

Regulatory and legal complexity

Earth has a wide range of regulatory frameworks, consumer protection laws, and data privacy regulations that the company must navigate. Ensuring compliance with these regulations, especially when collecting customer data for AI-driven personalization, can be complex and time-consuming.

Infrastructure and connectivity variances

Earth's technological infrastructure varies widely across regions, from highly developed urban areas to remote or underserved locations with limited internet connectivity. Providing a consistent, high-quality VR/AR experience and AI-based interactions may be challenging in areas with less advanced infrastructure.

Voice of earth-based employees

Innovation and technology adoption

"I'm really proud to work at Cosmic Mart. Our innovative technology initiatives are truly groundbreaking, and it's amazing to be a part of a team that's shaping the future of retail. The opportunities for growth and learning are endless."

"While I appreciate the company's emphasis on technology, the constant changes and updates can be overwhelming. It feels like we're always adapting to new tools and systems without proper training, which can make our work more challenging than it needs to be."

"The introduction of new technology at Cosmic Mart has definitely changed the way we work. Some aspects are exciting and improve efficiency, while others can be a bit complex to navigate. It's a mix of positives and challenges."

Challenge statement: Innovation and technology adoption

How might we ...?



Challenges impacting strategic priority 02:

Cost optimization through AI-Driven supply chain management

Cost reduction

AI can help in identifying cost-saving opportunities throughout the supply chain. For instance, it can forecast demand more accurately, reducing overstocking and understocking issues that can lead to unnecessary costs. It can also optimize shipping routes and schedules, minimizing transportation expenses.

Efficiency enhancement

AI-powered supply chain solutions can streamline processes, leading to increased operational efficiency. This not only reduces costs but also enables the company to meet customer demands more effectively.

Data-driven decision making

AI can process vast amounts of data from various sources in real-time, allowing for data-driven decision-making. This is particularly valuable in cost management, as it enables the company to respond quickly to market changes and cost fluctuations.

Sustainability considerations

AI can also help in making more sustainable decisions within the supply chain, which is increasingly important to Earth consumers. Sustainable practices can lead to cost savings and align with broader environmental and social goals.

Voice of earth-based employees

Cost optimization through AI-Driven supply chain management

"I can't begin to express how thrilled I am with Cosmic Mart and their AI-driven supply chain management system. As a supply chain manager with years of experience, I've seen my share of tools and solutions, but Cosmic Mart's approach is truly revolutionary."

"I had high hopes for Cosmic Mart's AI-driven supply chain management solution, but the reality has been a bit of a letdown. While it does have its merits, there are significant drawbacks that cannot be ignored."

"The customer support team has been generally responsive, addressing our queries and concerns in a reasonable timeframe."

Challenge statement: Cost optimization through AI-driven supply chain management

How might we ...?



Challenges impacting strategic priority 03:

Sustainability and responsibility

Supply chain transparency and ethical sourcing

Sourcing eco-friendly and sustainable products requires a transparent and responsible supply chain. Ensuring that products are ethically sourced, environmentally friendly and adhere to recognized sustainability standards can be challenging, particularly when dealing with diverse suppliers from different regions.

Logistical complexity in carbon footprint reduction

Optimizing packaging and shipping practices to minimize the company's carbon footprint is a multifaceted challenge. Balancing the need for protective packaging with environmental considerations, while also finding efficient shipping routes and methods, demands careful planning and coordination.

Customer insights

Introducing eco-conscious initiatives is important, but effectively communicating the company's commitment to sustainability and authenticity is equally crucial. Greenwashing, or falsely portraying the company as more sustainable than it actually is, can lead to loss of trust among environmentally conscious consumers. Striking the right balance between genuine sustainability efforts and transparent communication is a challenge.

Voice of earth-based employees

Sustainability and responsibility

"I'm proud to work for Cosmic Mart as we expand to Earth with a strong focus on sustainability and responsibility. Our commitment to protecting the planet and supporting ethical practices is inspiring."

"While Cosmic Mart's emphasis on sustainability and responsibility is commendable, it's been a bit challenging to adapt to these new practices. There's a learning curve and sometimes it feels like we're sacrificing efficiency for sustainability."

"The shift towards sustainability and responsibility at Cosmic Mart as we expand to Earth is an interesting change. It's clear that the company is taking its environmental and social responsibilities seriously. As an employee, I'm curious to see how this shift will affect our operations with Earth consumers."

Challenge statement: Sustainability and responsibility

How might we ...?



Challenges impacting strategic priority 04:

Customer-centric engagement

Cultural sensitivity and understanding

Earth's diverse cultures and regions have varying expectations and norms when it comes to customer engagement and loyalty programs. Adapting the Cosmic Rewards Program and other engagement initiatives to resonate with local preferences while maintaining a consistent brand experience can be challenging.

Data privacy and trust

Collecting and analyzing customer feedback is essential for improving offerings and tailoring experiences. However, ensuring the privacy and security of customer data while obtaining meaningful insights requires navigating Earth's data protection regulations and building and maintaining customer trust in the handling of their information.

Customer insights

Extracting meaningful insights from customer data can be challenging. Companies need sophisticated analytics tools and expertise to understand customer needs, preferences, and pain points accurately.

Voice of earth-based employees

Customer-centric engagement

"I'm excited about Cosmic Mart's expansion to Earth with a strong focus on customer-centric engagement. It's refreshing to see a company prioritize the needs of our customers above all else."

"While the idea of customer-centric engagement is admirable, the reality of implementing it has been quite challenging. It often feels like we're bending over backward to accommodate every customer's request, and it's straining our resources."

"Cosmic Mart's emphasis on customer-centric engagement as we expand to Earth is an intriguing shift in our strategy. It's clear that we're making the customer experience a top priority. I'm curious to see how this focus will shape our interactions with Earth customers."

Challenge statement: Customer-centric engagement

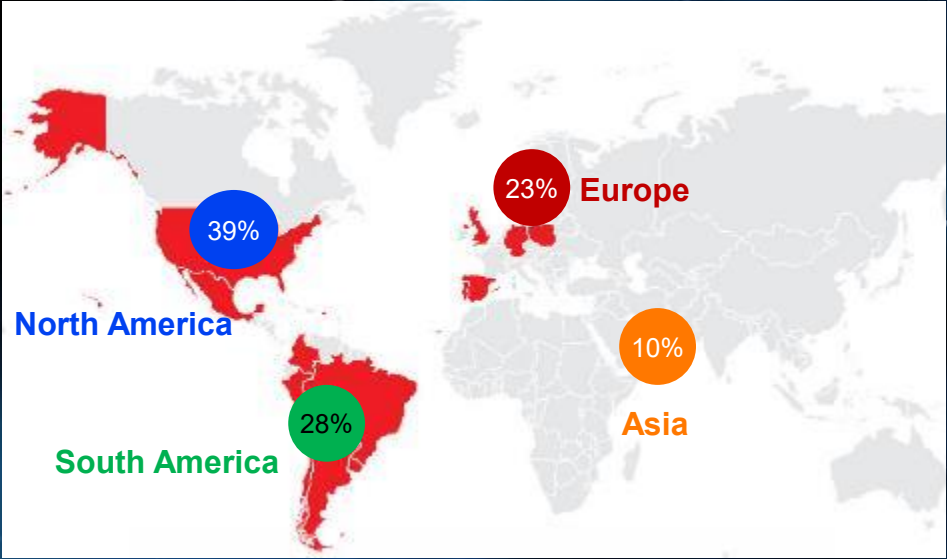
How might we ...?



Earth-based key financial data

Assets	\$90.5 billion
Revenue	\$58.1 billion
Loans	\$38 billion
Moody's Credit Rating	Baa1
S&P credit rating	A-
Fitch Rating	BBB+
Pre-tax earnings	(\$7.84 billion)

Geographic diversification



Revenue, USD million (2021)		
Geography		Product segments
North America 19,986		Gadgets 39,214
South America 13,850		Fashion 7,734
Europe 12,200		Home and Lifestyle 4,177
Asia 5,089		

Earth-based financials (1 of 3)

Company analysis

Revenue (latest FY) in \$M ⓘ **43,083**

EBT margin (latest FY) ⓘ **37.9**

Enterprise value in \$M* ⓘ **55229**

Employees ⓘ **182,672**

Non Interest Income
(Latest FY) in \$M ⓘ **13,769**

Net Interest Income
(Latest FY) in \$M ⓘ **37,287**

Revenue

Total Revenue Growth (YoY) ⓘ **22.5%**

Net interest income growth (YoY) ⓘ **4.6%**

Non interest income growth (YoY) ⓘ **5.9%**

Total revenue growth (3-yr CAGR) ⓘ **-0.3%**

Net interest income growth
(3-yr CAGR) ⓘ **-0.8%**

Non interest income growth
(3-yr CAGR) ⓘ **-2.7%**

Financials data as of April 2025

Earth-based financials (2 of 3)

OpEx

EBT margin change (YoY,bp) ⓘ 1169.2

Net interest margin % ⓘ 2.4%

Total Non-Interest Expense as a % of Revenue ⓘ 62.1%

Return on Equity ⓘ 10.3%

Return on Assets ⓘ 0.6%

Liquidity

Assets under Management (AuM) ⓘ \$206.5bn

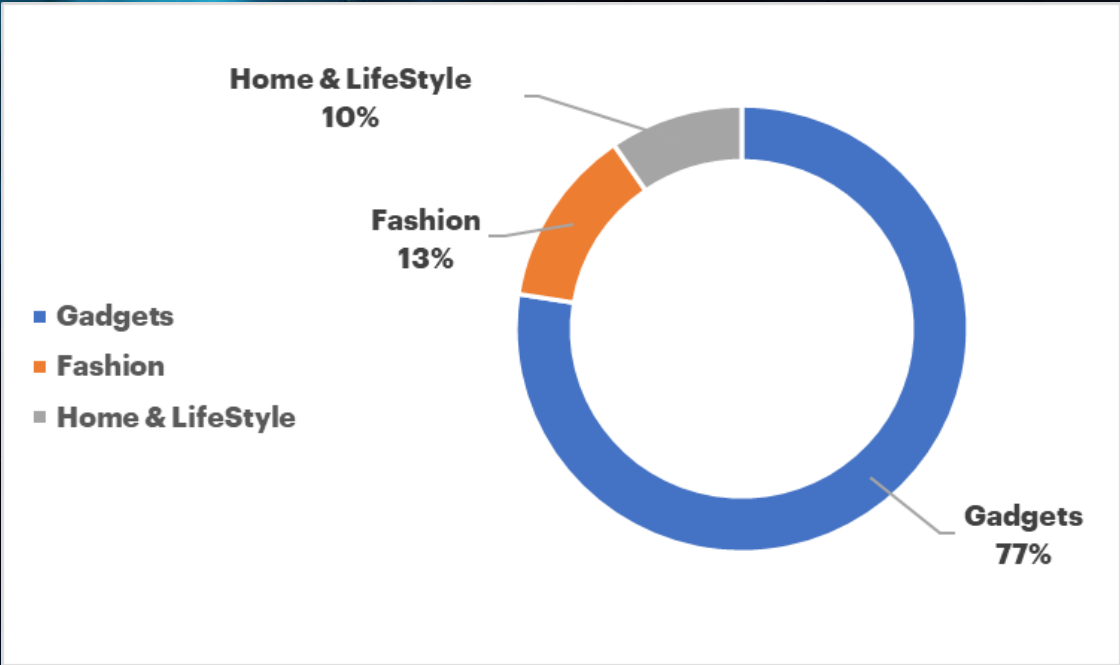
Core Tier 1 Capital Ratio ⓘ 12.5%

Loan Loss Ratio ⓘ 15.9%

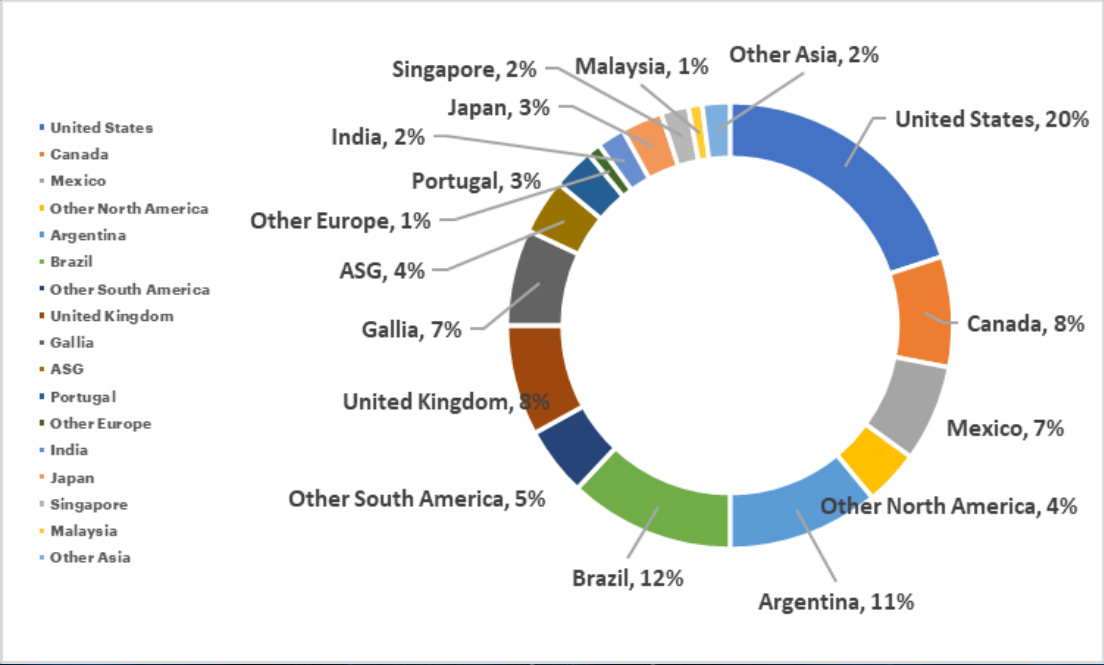
Financials data as of April 2025

Earth-based financials (3 of 3)

Revenue by segment
Revenue (in %) from each segment of business for the latest financial year.



Revenue by geography
Revenue (in %) from each geographic segment of business for the latest financial year.



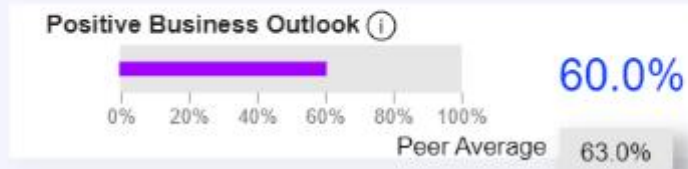
Financials data as of April 2025

Earth-based employee perception

Key Insights: Compared to peer group, employee rating is lower for Cosmic, especially for Work/Life Balance. It has slightly higher attrition rate when compared to peer group over last year.

Business Change & Adoption

Employee perceptions regarding outlook of the business

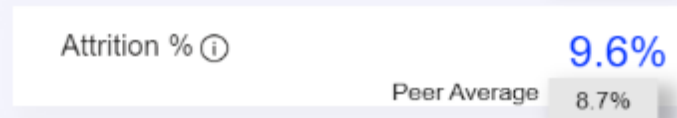
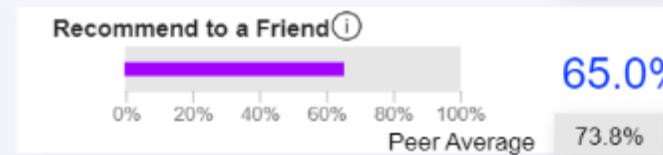
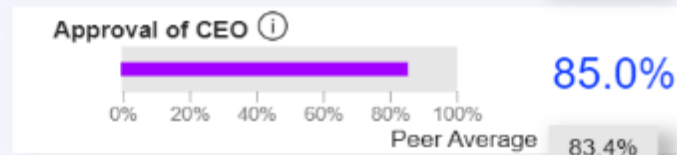
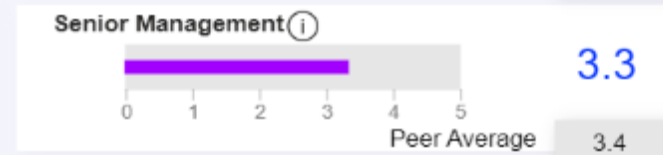
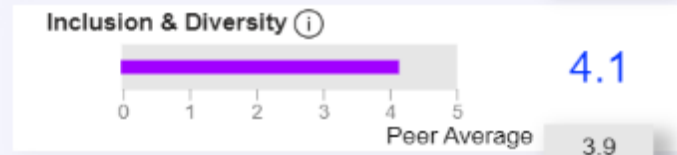
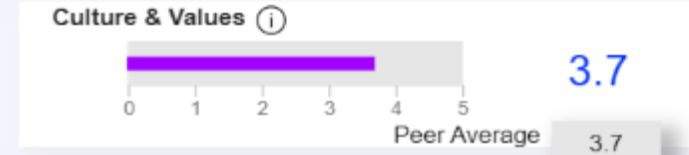
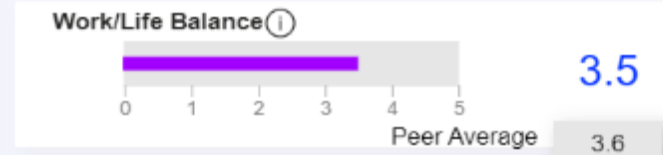
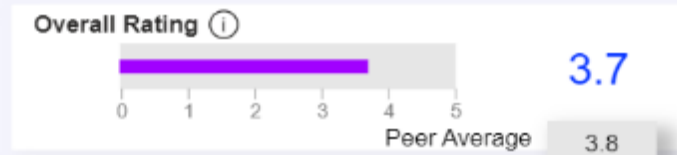


Earth-based employee perception (cont.)

Key Insights: Compared to peer group, employee rating is lower for Cosmic, especially for Work/Life Balance. It has slightly higher attrition rate when compared to peer group over last year.

Culture

Employee perceptions across various organizational dimensions, and attrition



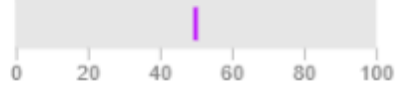
Environment and social performance

Key Insights: Overall, Cosmic Mart has higher performance across broad environmental & social parameters. Employee Diversity & Development and Carbon Emission is an opportunity for improvement.

Environment

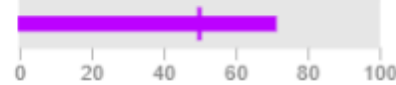
Client's performance on environment KPIs, scaled basis its respective peer group.

Biodiversity & Animal Welfare ⓘ



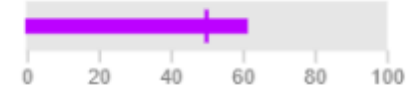
NA

Energy Management ⓘ



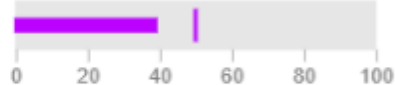
71.0

Waste Management ⓘ



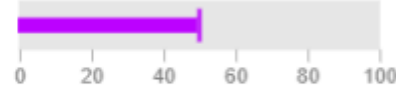
61.0

Carbon Emission ⓘ



39.0

Sustainable Water ⓘ

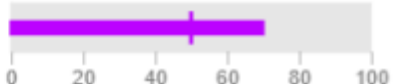


49.0

Social

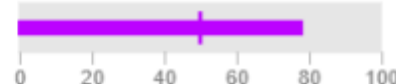
Client's performance on social KPIs, scaled basis its respective peer group.

Community Impact & Relation ⓘ



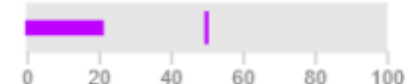
70.0

Human Rights ⓘ



78.0

Employee Diversity & Development ⓘ



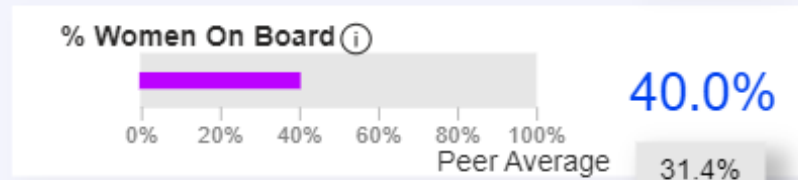
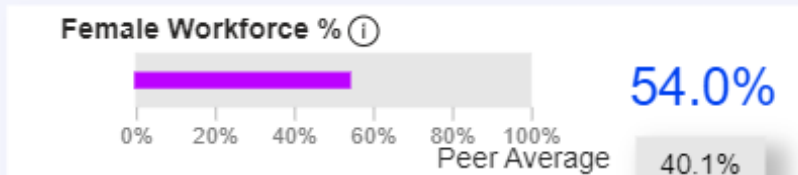
21.0

Earth-based inclusion and diversity (I&D)

Key Insights: Cosmic is performing better than peers in Human Rights and Female Workforce on Earth.

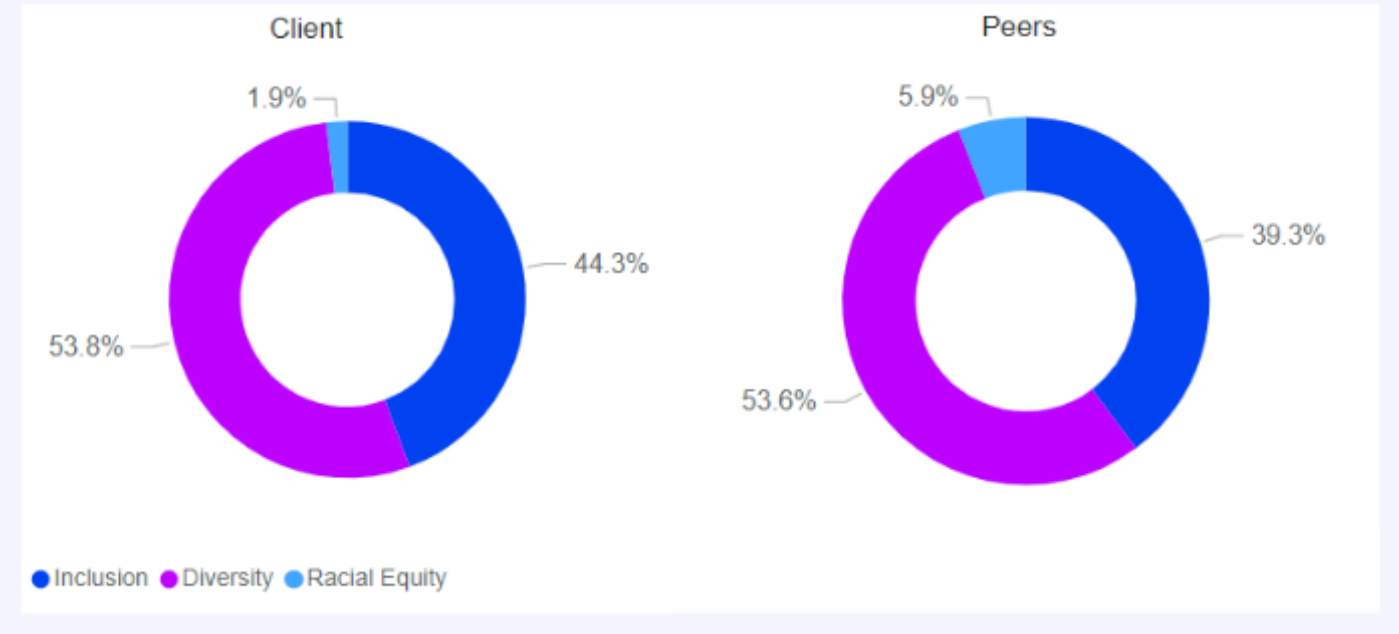
Diversity

Client's performance on Diversity KPIs.



Leadership Mentions – I&D Themes

Natural Language Processing (NLP) driven analysis on client's Annual Report to understand relative share of mentions of different sub themes within I&D.





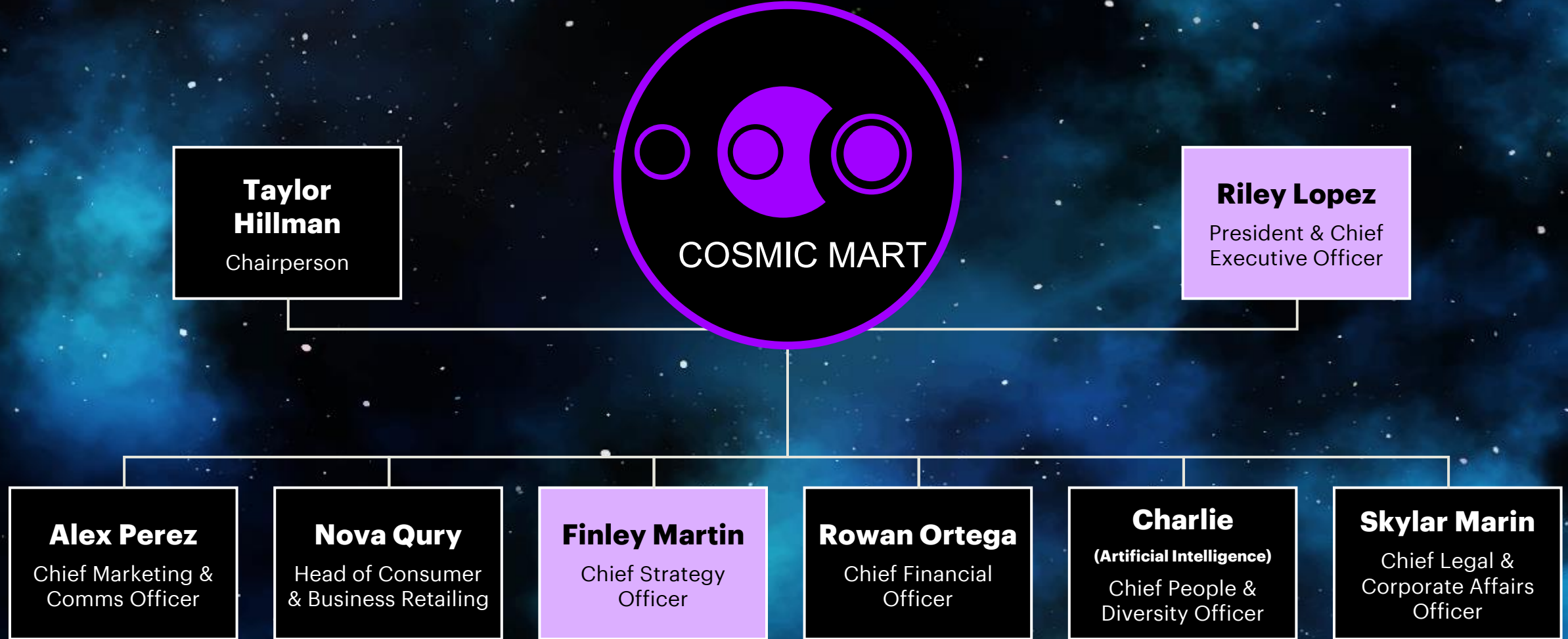
Cosmic Mart's relationship with Accenture

Accenture engagement history

Past projects	Fees	Work/Value delivered	Client perception
ACH	\$180,000 USD. (Lost)	Cosmic Mart's emphasis on quality assurance ensures that customers receive products that are reliable, durable, and perform as expected.	Mediocre. Accenture did not have strong relationships with Cosmic Mart and the work ultimately went to a competitor.
eLearning	\$230,000 USD (Won)	By offering a wide array of products across different categories, customers can find all their needs under one roof, saving them time and effort in shopping.	Well received. A multimedia solution utilized microlearning and resulted in a great increase in employee engagement.

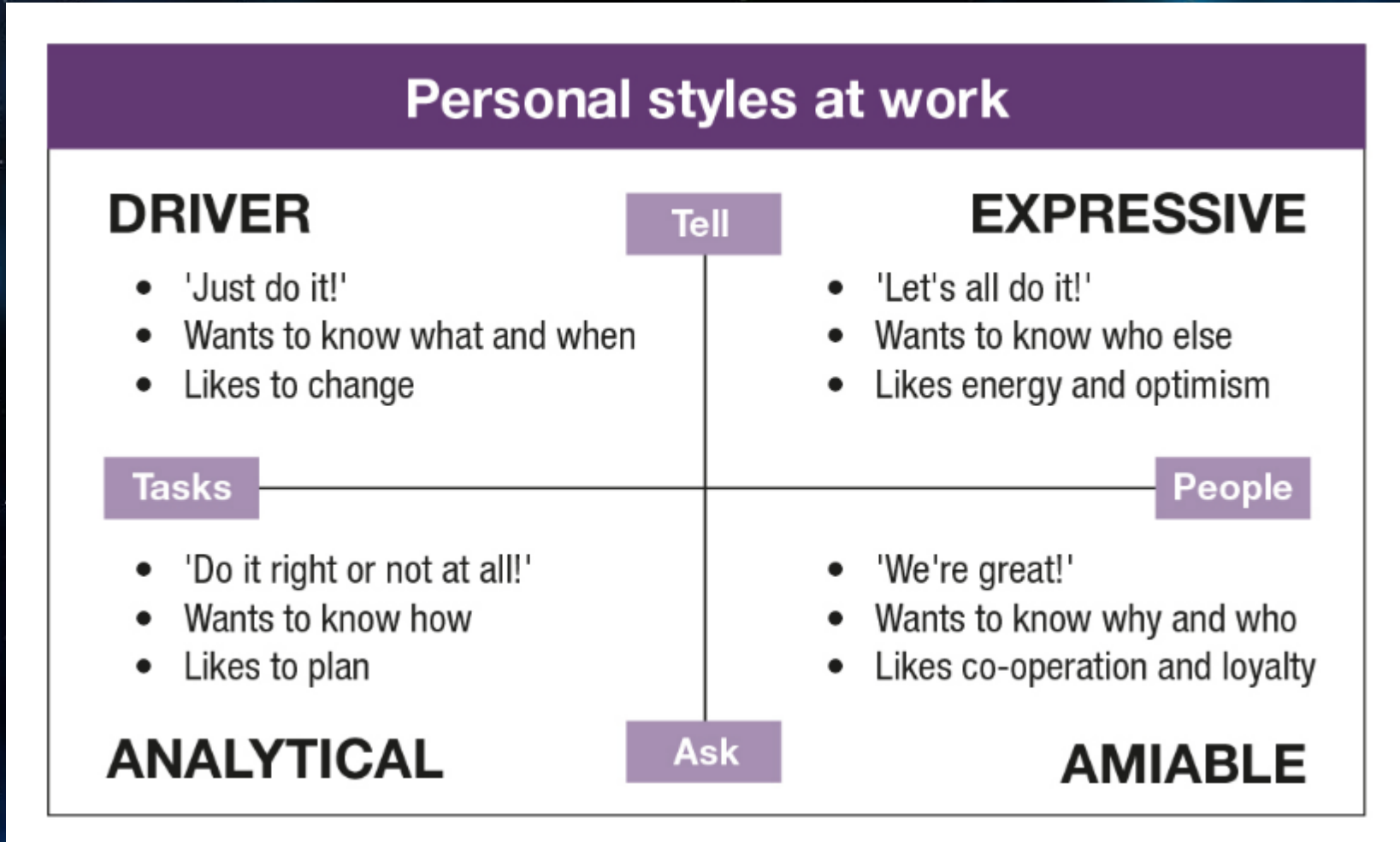
(ACH = Automated Clearing House)

Cosmic Mart leadership



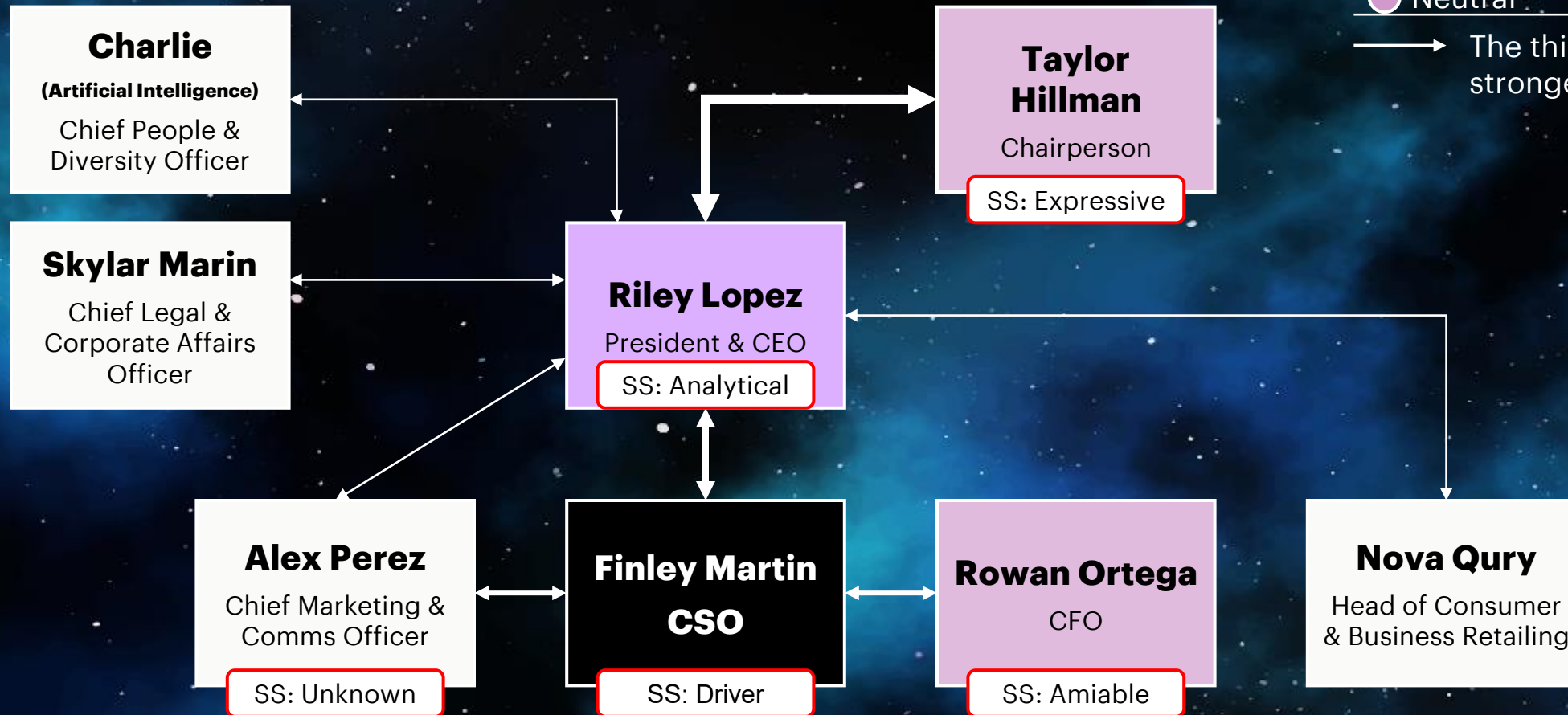
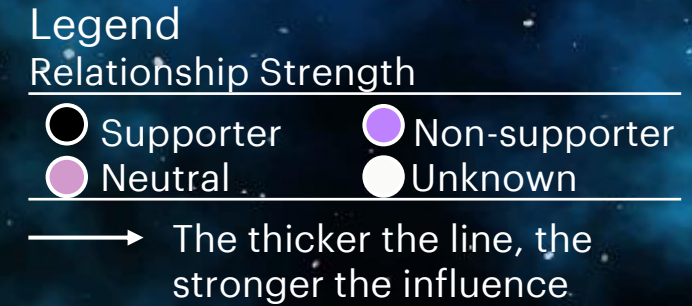
■ Executive relevant to this current opportunity

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Cosmic Mart's power map



Executive profiles

* Riley Lopez | President & CEO

Being the first Earth-based director, Riley takes the job very seriously. They feel obligated to preserve the vision of Cosmic Mart. Riley is meticulous and careful to consider all options before acting, as well as very demanding on their executive officers. Riley requests detailed reports under quick turnaround times, to check facts and figures and be sure of their accuracy. Riley works closely with all of Cosmic Mart's C-Suite leaders. Riley is skeptical on the value Accenture can bring for long-term projects.

Taylor Hillman | Chairperson

Taylor believes they have the best job in the firm and thoroughly enjoys going out into the "field" to personally "take the pulse" of consumers. Taylor is spontaneous and often makes decisions based on "gut" feeling. Taylor is forward thinking and quick to jump on the next "it" thing. Taylor routinely speaks with Riley, sharing opinions on Cosmic Mart's business direction. Strategic business decisions are not approved unless they agree to them. Taylor does not have an opinion on Accenture, but is eager to hear what they can offer.

* Finley Martin | Chief Strategy

Finley works across key areas to drive growth within Cosmic Mart. Finley often looks to challenge how things are typically done in the business, alter corporate culture and drive innovation for best growth-based results. Finley relies on facts and data from marketing, sales and finance to create and implement a longer-term vision and enterprise-wide execution of growth generating strategies. They strive for results, are decisive and act quickly to achieve their goals. Finley easily dominates any discussion and has been known to ignore other people's opinions on matters where they have strong points of view.

Finley worked closely with Accenture previously and believes Accenture will be able to handle other projects across the business.

* Roles played by faculty



Cosmic Mart's business challenge

Cosmic Mart's quotes

“Based on conversations I've had with the managers, it seems that, in general, customers aren't happy.

Some managers think it's related to our retail processes and some think it's the AI staff handling our customer support.”

”

Nova Qury

Head of Consumer & Business Retailing

“Cosmic Mart had just established their retailing services on Earth in 2021 and did not fully appreciate the human challenges and struggles caused by the global pandemic. I had suggested heavy discounts or at least lowering the prices. We never got around to making any decisions on it.

”

Rowan Ortega

CFO

Cosmic Mart's quotes

“*Digitalization and online shopping is at an all time high, and it's become a race to be best at it.*

I wonder how our competition is doing. Are they losing or gaining customers? What are they doing that we're not?

The big question: what do consumers want?”

Finley Martin

Chief Strategy Officer

“*While we remained resilient during Covid-19, we did not see growth.*

We understand we have a need for transformation, but we're not certain what will appeal most to customers.”

Riley Lopez

President & CEO

Trends

Competing for the status of super-app requires massive investment with no guarantee of gaining the necessary traction.

>30

There are well over 30 platform businesses worldwide that can be described as super-apps or aim to become one.¹

640%

Retail companies report super apps in their annual reports and other public communications have increased more than six-fold between 2019 and 2021.²

Online shopping has become functionally correct but emotionally devoid. Fashion brands must find a way to put human touch back into shopping.

50%

The proportion of online customers who interact via a mobile device or website at least once a week, compared to 32% before the pandemic.³

7 out of 10

Those who would welcome a digital experience that includes human advice on simple (72%) and complex customer queries (68%).⁴

There will be significant costs as retailers become guardians of our planet, but the returns are sure to make it more than worthwhile.

\$150 tn

GPC's estimate of the investment needed for the world to achieve net zero carbon emissions within the next 30 years.⁵

\$3.8 tn

Innovation provided to fashion industries by 60 of the world's biggest brands between 2016 and 2020.⁶

Digital engagement

Key insights: Cosmic Mart has moderately high engagement with respect to consumers interacting with their posts on social media compared to peer group; share of positive chatter is lower than negative chatter; polarization of posts is higher than peers.

Analysis of the client's activity and engagement on social media (Twitter), as an indicator of brand's awareness and pull.

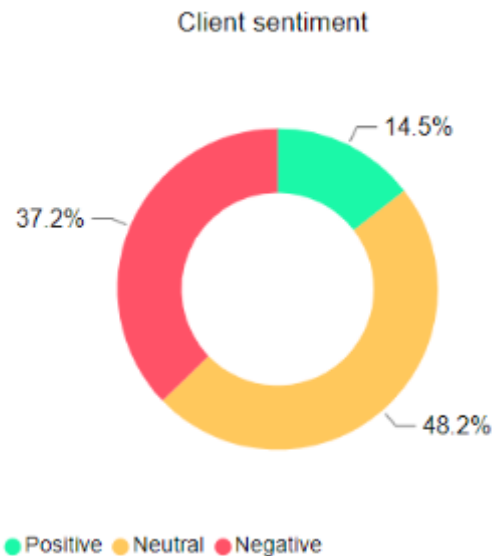
Total Chatter ⓘ	162.9K	Total Owner Activity ⓘ	469	Likes ⓘ	56.0K
Followers ⓘ	86.9K	Average Engagement Rate per Day ⓘ Peer Average 0.35%	0.29%	Average Engagement Rate per Post ⓘ Peer Average 0.43%	0.58%

Voice of Customer: Sentiment

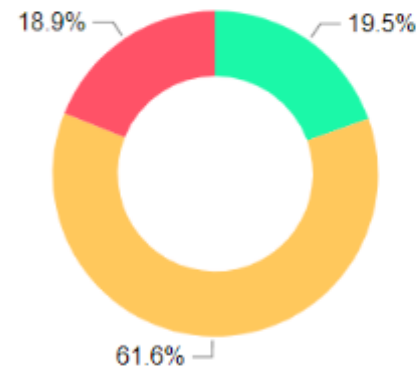
Key insights: Larger negative sentiment about brand on social media; polarization of posts is higher than peers.

Sentiment analysis of chatter about the brand on social media.

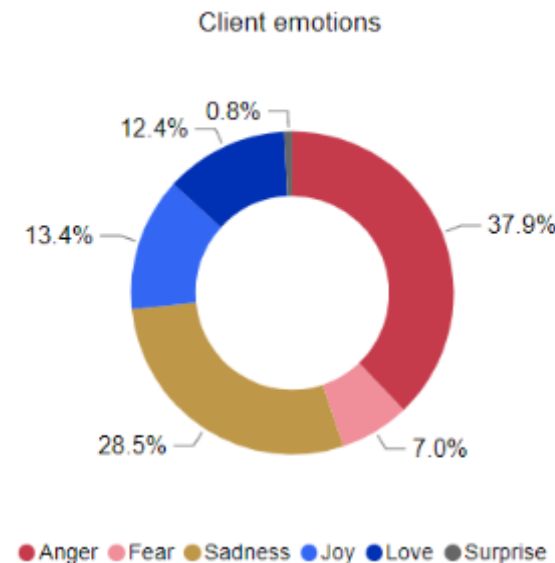
Sentiment Score ①



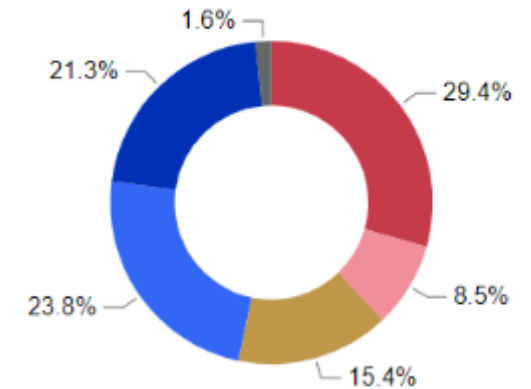
Peers sentiment



Emotions Breakdown ①



Peers emotions



Voice of Customer: Sentiment (Cont.)

Key insights: Larger negative sentiment about brand on social media; polarization of posts is higher than peers.

"Cosmic Mart? More like Catastrophic Mart! Terrible customer service, overpriced goods and a chaotic store layout. Avoid at all costs!"

"Shopping at Cosmic Mart was a cosmic mistake. Everything felt cheap and the staff seemed disinterested. I won't be back."

"Cosmic Mart left me feeling interstellar disappointment. Limited selection, unfriendly staff and prices that are out of this world...in a bad way. "

"Cosmic Mart – where the only cosmic thing is the prices. I'd have a better shopping experience on another planet. Avoid this place!"

Voice of Customer: Topics

Key topics within chatter about the brand on social media, to indicate drivers of positive and negative sentiments.

Top themes by sentiment ①

Diversity in workforce

Partnered with
Walmart

Outdated marketing

Average discount
offers

Unsustainable
packaging

Complicated return
policy

Unresponsive
customer support

False advertising

Positive Neutral Negative